

COMMONWEALTH CAPITAL RESEARCH

UMass Lowell | Manning School of Business

The SpaceX IPO Paradox

Capital Absorption, Not Causation

An empirical study of the June 12, 2026 SpaceX listing (Nasdaq: SPCX) and its measured relationship to the listed space complex.

By Hari Verma and Pratham Jariwala

Q3 2026 Issue · Data through July 24, 2026 · 28 completed post-IPO sessions

SECTION 1

The Lead Thesis: Draining the Well

The popular version of the summer 2026 space selloff is that the SpaceX listing caused it. The reading is intuitive, and the data does not support it.

The record raise of $85.7 billion including the greenshoe did not drag peers down. It siphoned away the capital and attention they were competing for. That distinction matters, because one claim is a causal assertion this study cannot support and the other is a mechanism the numbers describe directly.

THE ONE NUMBER

$85.7B raised ≈ $83.6B combined peer market cap

The cash SpaceX raised in a single offering is roughly equal to the entire combined market capitalization of its two primary listed peers, Rocket Lab at approximately $48 billion and AST SpaceMobile at approximately $35.6 billion.

$85.7B
Total raised including the 83.3mm-share greenshoe at $135

~$1.75T
Implied valuation at the $135 IPO price

3.3x
The previous record IPO, Saudi Aramco at ~$26B in 2019

Why the framing is mechanism, not cause

- The order book was oversubscribed more than two times, roughly $150 billion in orders, with a retail tranche near 30%.
- A single event cannot be causally identified. There is no counterfactual and no control group.
- What can be measured is where the capital went and how the listed complex behaved around it. That is what follows.

SECTION 2 · THE SEQUENCING EVIDENCE

Debunking the Causal Story

The decline started before SPCX listed

AST SpaceMobile peaked on May 28, 2026, and Rocket Lab on May 27, 2026. SPCX did not begin trading until June 12. By the IPO date the two peers had already fallen 38.1% and 31.8% from those peaks, roughly two weeks of decline before the event that supposedly caused it.

Period price moves · May 1 to July 24, 2026

Ticker	Window peak	Peak date	IPO day close	Peak to IPO day	IPO day to latest	Peak to latest
ASTS	$133.09	May 28	$82.41	(38.1%)	(31.8%)	(57.8%)
RKLB	$150.23	May 27	$102.39	(31.8%)	(37.6%)	(57.5%)
SPCX	$201.80	Jun 16	$160.95	n/a	(28.5%)	(43.0%)
ARKX	$37.74	May 28	$33.78	(10.5%)	(10.1%)	(19.5%)
UFO	$67.77	May 28	$52.97	(21.8%)	(18.9%)	(36.6%)

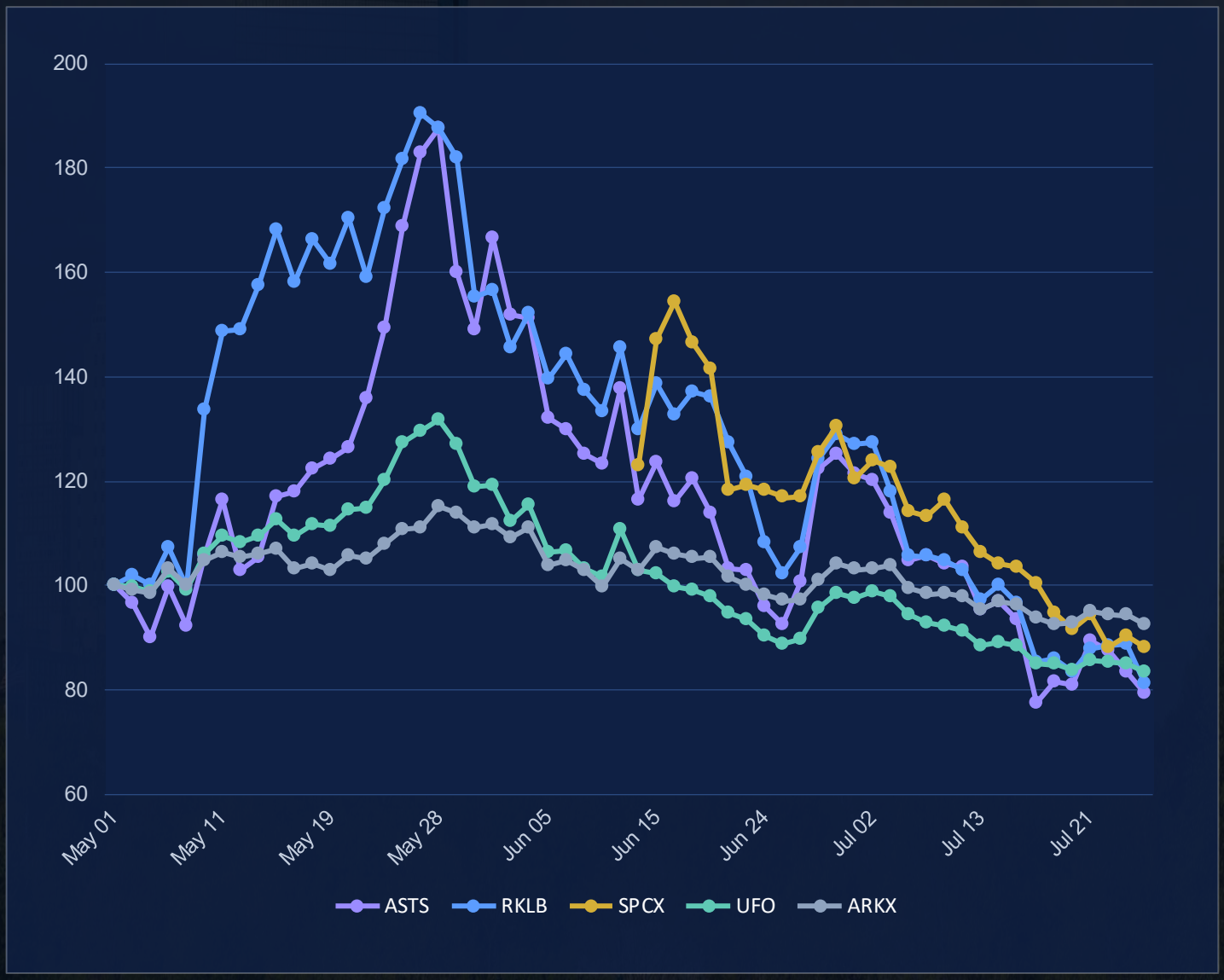
SPCX has no pre-IPO price history, so its peak to IPO day cell is n/a by construction. Peak is the highest close in the window. The June 16 SPCX close of $201.80 is the LSEG figure; TradingKey records $205.96 for the same session.

The magnitude check

- Since the IPO, SPCX has fallen 28.5%, outperforming both peers over the identical window. ASTS fell 31.8% and RKLB fell 37.6%.
- The alleged cause fell less than the alleged victims. That ordering is difficult to reconcile with a causal story.
- Both sector ETFs declined alongside, ARKX by 10.1% and UFO by 18.9% post-IPO. The de-rating is visible in the baskets, not only in the two single names.
- The spread between the ETFs is itself informative. UFO, the purer space basket, fell 36.6% peak to latest while ARKX fell 19.5%, diluted by its non-space exposure.

EXHIBIT 1

The Sector Was Already Rolling Over



Reading the exhibit

All five securities indexed to 100 at May 1, 2026, with SPCX entering on its June 12 debut, rebased to the peer average so the paths are comparable. The exhibit establishes the visual impression the rest of this note interrogates. Both single names and both sector ETFs roll over from late-May peaks, and from the listing date forward all five trace broadly parallel downward paths. The pre-IPO rollover is the point: the drawdown is already well underway when SPCX arrives.

SECTION 3 · THE NATURE OF THE BEAST

Is SpaceX Even a Space Stock?

$11.4B
Starlink FY2025 revenue, 61% of the $18.7B total

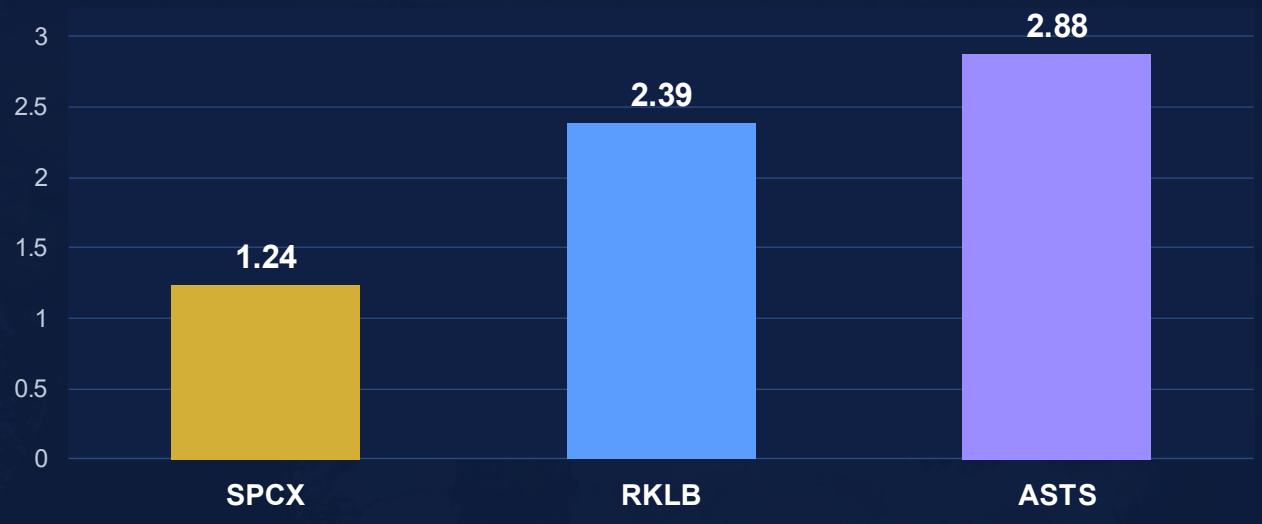
12mm+
Starlink subscribers as of June 2026

$4.1B
Space segment FY2025 revenue, growing 8% year over year

A telecom business with a launch division attached

Starlink is the majority of revenue and is profitable at the segment operating line, posting $1.19 billion of operating income in Q1 2026. The segment that actually resembles Rocket Lab, the space business at $4.1 billion, is growing at 8% against 38% for RKLB. That mix explains why SPCX correlates 0.74 with ARKX, the innovation basket, and only 0.44 with UFO, the pure space basket. The 0.44 is the lowest pair in the entire correlation matrix.

Beta versus the UFO space sector ETF · post-IPO daily returns, N=28



R-squared against UFO: SPCX 19.0%, RKLB 76.9%, ASTS 74.9%. Roughly four-fifths of SPCX daily variance is unexplained by the space sector factor. The largest space company in the world is the least sector-sensitive space asset in the study.

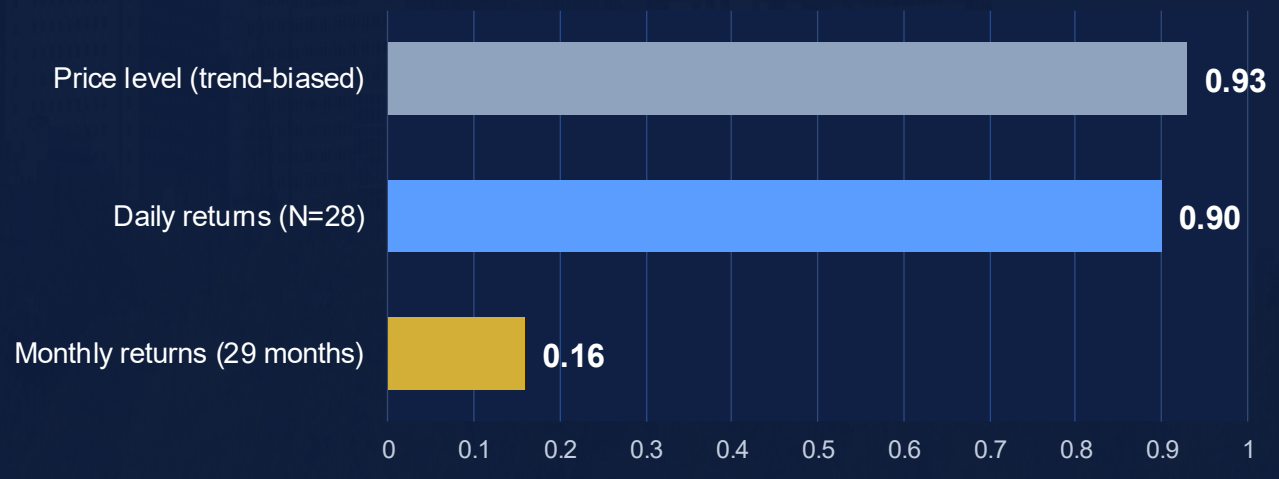
SECTION 4 · A SHORT-HORIZON ARTIFACT

The Space Basket Myth

Same two stocks, opposite answer

ASTS and RKLB post a 0.90 daily return correlation across the 28 post-IPO sessions, which is why they appear to move in lockstep on a screen. Measured on 29 months of monthly returns, the same pair correlates at 0.16, with an R-squared of 2.5% and a beta of 0.25. Both figures are real. They simply answer different questions. Traders see a basket. Long-term owners do not have one.

ASTS versus RKLB correlation by measurement horizon



The trap worth naming

- The price-level correlation for this pair is 0.93. Two assets that both rose a great deal over two years will always show a high price-level correlation, whatever their day-to-day behavior.
- Only returns correlations are meaningful for co-movement. Level correlations are biased upward by shared trend and are reported here only to demonstrate the problem.
- The peer relationship also tightened through the event, from 0.67 pre-IPO to 0.91 post-IPO, with beta rising from 0.64 to 1.14. That is a flow story, not a fundamental one.

SECTION 5

Forward Outlook: Catalysts to Watch

SEPTEMBER 2, 2026

First post-IPO earnings

The first genuine fundamental test of the valuation. Watch Starlink revenue concentration and whether the space segment accelerates from 8% year-over-year growth. FY2025 net loss was $(4.94)B and Q1 2026 alone was $(4.28)B.

AFTER FIRST EARNINGS

Partial lockup release

20% of insider holdings unlock, a mechanical supply overhang on the largest float in history.

APPROXIMATELY DECEMBER 2026

Full lockup expiry

The remaining insider shares unlock at roughly 180 days. Shares outstanding are approximately 13.1 billion, with insiders holding roughly 42% and 10x voting rights on Class B.

Valuation gaps at July 24, 2026

Ticker	Latest close	Analyst average price target	Gap to target
RKLB	$63.91	$107.03	**+67.5%**
ASTS	$56.20	$81.47	**+45.0%**
SPCX	$115.07	$164.00	**+42.5%**

All three names sat at or above consensus targets at the June 17 pack date and all three now sit below. Consensus targets lag price moves and should be read as a reference point rather than a forecast. This is a gap to an external benchmark, not a recommendation.

SECTION 6 · RECURRING FEATURE

The Space Basket Monitor

A standing measure of whether the co-movement created around the listing is decaying or persisting. The half-life rule: a correlation below 50% of the IPO-week reference is a regime change, meaning the co-movement was transient flow. Between 50% and 75% is approaching decay. Above 90% means the basket trade is still intact.

Milestone dashboard · post-IPO daily return correlations

Milestone	Date	Sessions	ASTS / RKLB	ASTS / SPCX	RKLB / SPCX	Status
IPO week	Jun 17	3	**0.99**	0.30	0.42	reference
Day 5	Jun 22	5	**0.96**	0.67	0.71	still elevated
Day 10	Jun 29	10	**0.93**	0.52	0.51	still elevated
Day 15	Jul 7	15	**0.93**	0.55	0.54	still elevated
Day 20	Jul 14	20	**0.92**	0.54	0.53	still elevated
Latest	**Jul 24**	**28**	**0.90**	0.47	0.49	still elevated

This issue's read

- The peer pair has not decayed. ASTS to RKLB fell only from 0.99 to 0.90 across 28 sessions, well above the 90% threshold. The basket trade between the two listed pure-plays is persistent.
- The SPCX pairs behave differently. Both jumped from roughly 0.30 and 0.42 in IPO week to 0.67 and 0.71 by day five, then settled back to 0.47 and 0.49. That spike and fade is consistent with initial index and flow linkage that dissipates.
- Strip out sector beta and the SPCX link nearly vanishes. Residual correlation collapses to 0.21 for ASTS and 0.26 for RKLB, neither significant at N=28. The visible co-movement was shared sector beta, not a SpaceX-specific effect.
- Caveat carried forward: the IPO-week reference is computed on three observations and is directional only.

SECTION 7

Conclusion and Observations

How could someone efficiently invest

- SPCX, RKLB, and ASTS have all either derated up to and after the IPO or just tanked entirely. Early Investors in SPCX experienced marginable losses as well. The play here is to minimize drawdown and target the investments that give equal exposure and gains while minimizing risk
- Based on the observable chart (pg.4) we can visually see the ARKX Space & Defense ETF having limited drawdown and actually finished at a higher normalized level at the end of CCRs IPO window. This ETF provides diversity and limited drawdown which is proven in this study.

Conclusion

The recent IPO landscape offered valuable perspectives for this analysis. While a monumental historical IPO initially signaled sector growth, subsequent market trends require a more nuanced outlook. Nonetheless, SPCX maintains a strong position, bolstered by innovative and high-potential projects such as orbital data centers.

SpaceX has fundamentally changed the competitive landscape of the aerospace industry. Traditional companies such as Boeing and Lockheed Martin historically dominated the market for government and commercial launches. However, SpaceX's lower costs and innovative technologies have challenged established competitors and forced them to adapt.

Many aerospace companies have increased investments in reusable rocket technology and operational efficiency to remain competitive. Competitors such as Blue Origin and Rocket Lab have introduced their own reusable launch systems in response to SpaceX's success. As a result, the entire industry has become more innovative and cost-conscious (Reuters, 2025)

From Pratham Jariwala, Analyst - CCR

Prepared by Commonwealth Capital Research at UMass Lowell for research and educational use. This material is not investment advice and is not an offer or solicitation to buy or sell any security. Figures are estimates compiled from public sources and may be revised.

SECTION 8

Sources

Market and price data

- LSEG Workspace, TR.PriceClose. All daily and monthly closing price series for ASTS, RKLB, SPCX, ARKX, and UFO through July 24, 2026.
- TradingView and Investing.com. Intraday ranges, 52-week ranges, and the SPCX all-time high of $225.64 on June 16, 2026.
- PitchBook. SPCX shares outstanding of approximately 13.1 billion, market capitalization, and TTM revenue through March 2026.
- CNBC and CBS News. IPO pricing at $135.00, the debut close of $160.95, and same-day sector reaction figures.
- Reuters via Investing.com. Greenshoe exercise and the $85.7 billion total raise.
- stockanalysis.com. FY2024 and FY2025 revenue and net loss for Rocket Lab and AST SpaceMobile.

Company filings, research, and background

- Rocket Lab 8-K, May 7, 2026. Q1 2026 revenue of $200.3mm and backlog of $2.2 billion.
- Simply Wall St. AST SpaceMobile quarterly detail and forward consensus estimates.
- Yahoo Finance. Operating margins and analyst average price targets.
- SpaceX company disclosures, NASA Commercial Crew Program materials, and SEC filings and market reports.
- Morgan Stanley research on the global space economy; Reuters and The Wall Street Journal coverage of Starlink growth and SpaceX valuation.
- CCR internal workbook, CCR_Space_Sector_Comparables.xlsx, and the CCR SpaceX IPO Study master report. All correlation, beta, and residual statistics are computed there.